

Introduction (1 min)

“Hello everyone. Today our group will present the evolution of Digital Payment Systems. We chose this technology because it has changed the way we live, shop, work, and communicate with businesses. Digital payments allow people to transfer money electronically without using physical cash, making transactions faster and safer.

It started simply in the 1990s but has now grown into a nationwide cashless ecosystem used by millions of Malaysians daily. In this video, we will explain how digital payments evolved across four phases: from ATM cards and early debit cards, to online banking, mobile transfers, and modern e-wallets with QR codes. We will also analyse the positive and negative impacts of this technology and discuss whether society should support or reject its ongoing development.

Digital payment has become a major part of our lives and continues to evolve rapidly, improving efficiency and convenience while also raising new challenges for users and businesses alike.”

Phase 1 (1990s) — 2 minutes

“In the 1990s, the first wave of digital payments began. Banks introduced ATM cards and basic debit cards, which allowed customers to withdraw cash and perform simple electronic transactions. This was a major step toward reducing reliance on physical money.

At this time, online banking was almost non-existent; most banking services still required visiting the bank in person. Only urban areas had ATM networks, and rural communities often had no access at all. Major brands included Visa, Mastercard, and early local banks embracing digitalisation.

While the machines were slow and limited, this era already offered safer alternatives to carrying cash. For example, in 1995, only 30% of Malaysian banks had ATM networks, and security was basic, but it was still more reliable than walking around with large amounts of cash.

This phase laid the foundation for future improvements, introducing customers to the concept of electronic money and preparing the market for online banking and credit card expansion in the following decade.”

Phase 2 (2000s) — 2 minutes

“The 2000s marked a major expansion for digital payments. Online banking platforms, such as Maybank2u and CIMB Clicks, allowed customers to pay bills, transfer money, and check balances from home. This was a huge convenience compared to the previous decade.

Credit cards became widely used, enabling global online shopping through platforms like Amazon, eBay, and Lazada. The performance of digital payments improved with faster internet connections and better interfaces.

However, the rise of online banking also introduced new risks. Credit card fraud, phishing emails, and fake websites became common. People had to learn how to protect their personal information and passwords. Despite these issues, Phase 2 significantly boosted the digital economy and encouraged e-commerce growth in Malaysia.

Overall, this phase shows how technology solved previous problems, like slow ATM access, but also introduced challenges that required users and banks to adapt.”

Phase 3 (2010s) — 2 minutes

“In the 2010s, digital payments shifted from computers to mobile devices. Mobile banking apps allowed people to manage accounts, pay bills, and transfer money instantly from their smartphones. This was the start of true convenience for users.

Payment gateways like PayPal and Stripe became widely used, and online shopping boomed with platforms like Lazada and Shopee. Malaysia also began experimenting with QR code payments, which simplified transactions for small vendors and street markets.

Performance improved significantly: transactions were almost instant, interfaces were user-friendly, and costs were lower than traditional methods. Smartphones became more affordable, increasing accessibility.

At the same time, dependency on internet and mobile networks became a limitation. System outages or weak internet connections could delay transactions. Despite these challenges, Phase 3 laid the groundwork for full cashless adoption through e-wallets and nationwide QR payment systems in the 2020s.”

Phase 4 (2020s) — 2 minutes

“The 2020s represent the most advanced stage of digital payments. E-wallets such as Touch 'n Go, GrabPay, and ShopeePay became extremely popular. DuitNow QR codes created a standardized method for instant payments across all banks and businesses in Malaysia.

Contactless payments through Apple Pay and Samsung Pay also grew rapidly. Digital payments are now widely used in street stalls, restaurants, taxis, vending machines, and even schools. Performance is almost instantaneous, costs are low for merchants, and adoption is high even among small businesses.

This phase solved many issues from previous decades, such as slow banking processes and limited access. However, challenges remain, including the risk of scams, cybersecurity threats, and the digital divide for elderly or rural users. Overall, digital payment technology has become highly efficient and convenient for most Malaysians.”

Impacts (2 minutes)

Positive Impacts:

- Faster, safer, and convenient transactions
- Boosts digital economy and e-commerce
- Reduces cash-handling costs for businesses
- Encourages financial inclusion and digital literacy
- Creates new fintech jobs and innovation opportunities

Negative Impacts:

- Increased risk of online scams and phishing attacks
- Privacy concerns and data tracking issues
- Elderly or rural communities struggle to adapt
- Over-reliance on internet and mobile devices
- System outages can disrupt payment flows

Transition:

“While the positive impacts clearly support the evolution of digital payments, the negative effects show the importance of security, education, and inclusive access for all users.”

Conclusion (1 minute)

“In conclusion, the evolution of digital payment systems has created significant benefits for Malaysia, including efficiency, convenience, and economic growth. Although there are risks, such as scams and privacy issues, innovations like biometrics, OTP verification, and DuitNow QR have addressed many of these problems.

Our group believes that digital payment technology should be supported because the advantages outweigh the risks. Users must remain aware of security threats, and continuous improvements are necessary to ensure safe, inclusive, and convenient payments in the future.”